

# 10 Red Flags to Spot When Sourcing Suppliers in Thailand

A quick-reference audit checklist for manufacturing leaders  
and sourcing teams, from LEANOVEX Consulting.



# Introduction

Sourcing in Thailand can unlock great opportunities, but it also comes with risk. Whether you're qualifying a new supplier or evaluating an existing one, these red flags are early warning signs you shouldn't ignore.

At LEANOVEX Consulting, we've visited hundreds of factories across Thailand and Southeast Asia over the past 16 years. This guide condenses that field experience into 10 signs a production partner may not meet your expectations.

Use this checklist to avoid unreliable partners and protect your supply chain.

# Red flags

1

## Unrealistic lead time guarantees

Promises of fast delivery beyond industry standards may indicate a factory is misleading you about its actual capacity.

**Tip:** Ask for recent production schedules or lead time records to verify their promises match actual capacity.

2

## Inconsistent production records

Discrepancies or missing data in inventory, quality, or volume logs reflect poor management, or an effort to hide defects.

**Tip:** Ask to see recent records and check if data is complete, signed, and regularly updated.

3

## Excessive subcontracting

When a factory outsources most of its production, you lose visibility and control, often resulting in inconsistent quality and poor accountability.

**Tip:** Ask which processes are done in-house and request a visit to any subcontractor involved.

4

## Poor communication with technical staff

Miscommunication with engineers, QA, or planners leads to costly mistakes.

**Tip:** Don't rely only on sales reps. Ask to meet the factory's technical staff.

# Red flags

5

## No documented quality control process

Without clear procedures and records, you can't trust product consistency.

**Tip:** Ask to see recent inspection reports, checklists, or NCR logs.

6

## Owner handles everything personally

When one person controls all decisions, it often leads to bottlenecks and risk when problems arise or the business scales.

**Tip:** Ask who manages quality and production planning. Look for structured team roles and delegated responsibilities.

7

## No material or lot traceability

Without batch tracking, you can't investigate defects or control recalls.

**Tip:** Ask how they trace a finished part back to raw materials or operators.

8

## Blind agreement to all requests

A factory that always says "no problem" may not fully understand your requirements, or may be afraid to admit limitations.

**Tip:** Present a real scenario and see if they ask thoughtful questions or raise concerns.

# Red flags

9

## High operator turnover

Frequent staff changes lead to inconsistent output and constant retraining, which puts product quality at risk.

**Tip:** Ask how long their key QA and production staff have been with the company.

10

## Pushing for big orders too fast

Pressure to commit to large volumes early can signal desperation, or plans to outsource your order without transparency.

**Tip:** Start with a small trial run to evaluate performance and reliability.

## Final tip: don't wait for a crisis

Spotting red flags early is critical, but it's only half the battle. Many costly supplier problems don't show up until it's too late: failed shipments, unexpected shutdowns, hidden quality issues, or compliance violations. That's why proactive supplier audits aren't a luxury. They're a smart investment in supply chain reliability.



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